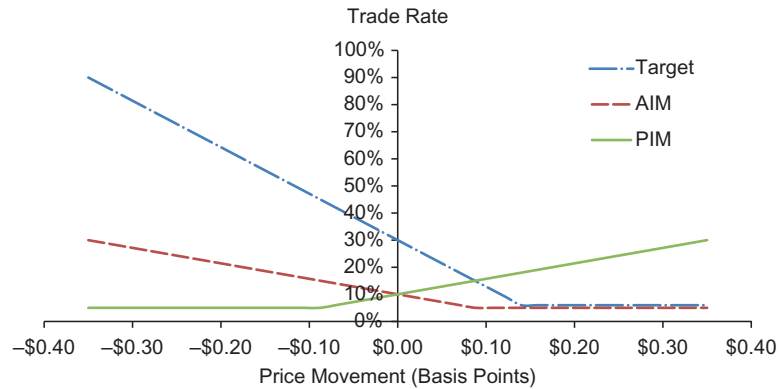




■ **Figure 8.4** Comparison of Adaptation Tactics.

lower than the target rate (30%) it will reach its minimum rate quicker than the target rate. But notice how the PIM tactic trading rate increases as prices increase. It is the exact mirror image to the AIM tactic.

Modified Adaptation Tactics

Many investors are proponents of specifying adaptation tactics based only on the current market prices and arrival price, or based on current market prices plus remaining market impact cost and arrival price. In this type of scenario, the algorithm ignores what has happened in the past, and only considers the current point in time and expected future prices.

While this type of tactic is preferred by some market participants, we are not proponents of this type of tactic. If an investor is not concerned with what happened in the past while they are trading they should not be concerned with what happened in the past after trading is completed. Otherwise, they exhibit inconsistent behavior. If an investor wants to trade a certain way halfway through the order that is different than at the beginning of the order, the chances are that they could have defined a different initial strategy and adaptation tactic at the beginning of trading and would have realized even better results. Consistency and pre-planning is paramount when it comes to algorithmic trading.

How Often Should We Re-Optimize Our Tactics?

There are many different theories for when and why an investor should re-optimize their trading rates. Some of these are quite appropriate and some